Fintech In Credit

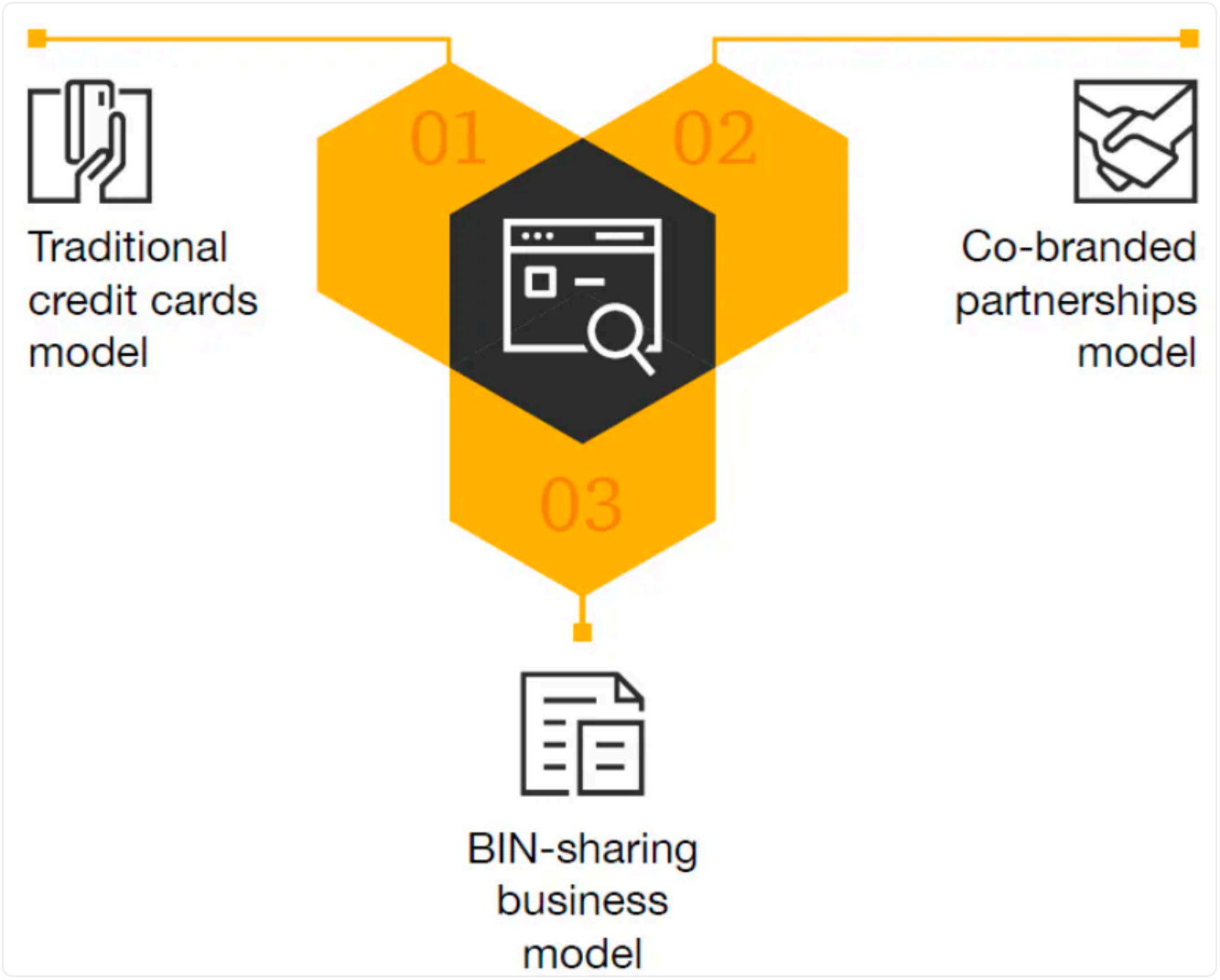
Emergence of FinTech players in the market

FinTechs have considerably transformed the payments industry by providing ease of conducting transactions. As a result, customers have started to expect enhanced experiences and services from traditional banks.

In recent times, instant issuance of cards is becoming the norm. The availability of these cards in a virtual form on mobile applications allows customers to easily perform transactions on e-commerce websites. This helps in increasing the activation rate of the cards and initiates early engagement with the cardholders. Credit lines offered by cards through prepaid instruments have gained immense popularity among the millennial and Gen Z population across the country. **Faster onboarding and instant availability of credit** were the unique selling proposition for these players. These low-value credit lines emerged as a worthy payment instrument in the low-penetrated segments in the credit cards industry.

However, RBI guidelines have barred issuers from loading the prepaid payment instruments (PPIs) with credit lines. This has affected the business models of various FinTech players. Consequently, many players have stopped issuing new cards owing to the lack of regulatory clarity. Currently, FinTech players are exploring options such co-branded cards and allowing partner banks to issue add-on debit cards after opening a bank account.

Evolution in the credit card business models
In recent times, there have been many developments in the credit card business models where issuers have evolved their traditional, co-branded, and bank identification number (BIN)-sharing models.


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Traditional credit cards model
Co-branded partnerships model
BIN-sharing business model